

Advantest (6857.T)

Earnings Review: Above expectations; very positive, including mention of further expediting production capacity increase; maintain Neutral but raise TP, expect share price rebound

6857.T

12m Price Target: ¥40,000

Price: ¥24,915

Upside: 60.5%

■ **NEUTRAL****Shuhei Nakamura**+81(3)4587-9932 | shuhei.nakamura@gs.com
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1Q results, full-year guidance stronger than expected

1Q operating profits of ¥190 bn, reported after the July 29 close, beat our estimate of ¥152 bn and the Bloomberg consensus of a little under ¥160 bn. Advantest revised up FY3/27 operating profit guidance to ¥846 bn from initial guidance of ¥627.5 bn, well above our prior estimate of ¥751.4 bn and the Bloomberg consensus of a little under ¥710 bn. While trade statistics from various countries likely made the stock market aware of the possibility that 1Q progress could be slightly better than management's assumptions, expectations for a large beat were unlikely to have been high, as recent GPU test times have not changed substantially. As such, we believe this came as an overall positive surprise.

Key points from the results briefing

(1) **TAM outlook:** Advantest raised its CY26 TAM outlook versus its April forecast for SoC testers by US\$1.9 bn, and for memory testers by US\$0.3 bn (both based on the midpoint of the range). The primary driver of the revision is chip volumes mainly for inference AI-oriented ASICs, CPUs, and DRAM tracking above expectations. The company noted that while CPU test times are on par with or slightly longer than for GPUs/ASICs in wafer testing, they are somewhat shorter in package testing.

(2) **Market share:** In **SoC testers**, Advantest's share is on an uptrend from 66% in CY25. The gap versus other companies is widening, especially in the AI/HPC space where Advantest has a high share, and the company is looking to capture a market share of at least 70% in SoC testers overall in the medium term. In **memory testers**, market share could decline slightly in CY26 (from 61% in CY25) because of recovery in the NAND segment, where the company's presence is relatively weak, but management plans to leverage new product launches to expand its share going forward.

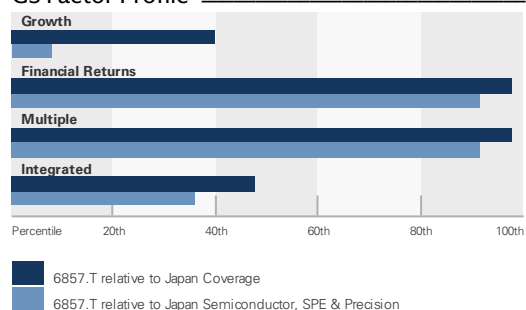
Key Data

Market cap: ¥18.3tr / \$111.6bn
Enterprise value: ¥17.8tr / \$108.7bn
3m ADTV: ¥253.1bn / \$1.6bn
Japan
Japan Semiconductor, SPE & Precision
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	1,128.6	1,788.5	2,116.1	2,281.9
Op. profit (¥ bn) New	499.1	904.0	1,076.5	1,124.0
Op. profit (¥ bn) Old	499.1	751.4	943.5	985.2
Op. profit CoE (¥ bn)	—	846.0	—	—
EPS (¥) New	517.4	962.0	1,112.7	1,162.3
EPS (¥) Old	517.4	757.9	967.6	1,010.8
P/E (X)	29.9	25.9	22.4	21.4
P/B (X)	14.1	15.6	11.4	9.0
CROCI (%)	82.9	101.2	95.5	88.5
	6/26	9/26E	12/26E	3/27E
EPS (¥)	236.7	229.0	237.0	259.3

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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NEUTRAL

Advantest (6857.T)

Rating since Oct 8, 2025

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	29.9	25.9	22.4	21.4
P/B (X)	14.1	15.6	11.4	9.0
FCF yield (%)	2.7	2.8	3.8	4.3
EV/EBITDAR (X)	20.8	18.5	15.0	14.0
EV/EBITDA (excl. leases) (X)	20.8	18.5	15.0	14.0
CROCI (%)	82.9	101.2	95.5	88.5
ROE (%)	57.6	70.8	58.3	46.9
Net debt/equity (%)	(40.2)	(41.1)	(49.0)	(56.0)
Net debt/equity (excl. leases) (%)	(40.2)	(41.1)	(49.0)	(56.0)
Interest cover (X)	181.2	1,291.4	1,537.9	1,605.7
Days inventory outst, sales	71.4	58.6	64.5	68.7
Receivable days	55.3	60.3	68.2	71.3
Days payable outstanding	113.0	108.0	118.7	122.1
DuPont ROE (%)	47.2	60.2	50.9	42.0
Turnover (X)	1.0	1.1	1.1	0.9
Leverage (X)	1.5	1.4	1.3	1.3
Gross cash invested (ex cash) (¥)	575.3	785.9	914.9	1,008.7
Average capital employed (¥)	406.7	573.2	724.9	814.5
BVPS (¥)	1,096.8	1,598.9	2,186.3	2,767.8

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	44.7	58.5	18.3	7.8
EBITDA growth	105.6	78.4	19.0	4.7
EPS growth	135.5	85.9	15.7	4.5
DPS growth	51.3	144.1	16.0	4.2
EBIT margin	44.2	50.5	50.9	49.3
EBITDA margin	46.5	52.3	52.6	51.1
Net income margin	33.3	38.3	36.7	35.6

Price Performance

Source: FactSet. Price as of 29 Jul 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	1,128.6	1,788.5	2,116.1	2,281.9
Cost of goods sold	(402.5)	(594.2)	(704.4)	(787.1)
SG&A	(148.9)	(180.3)	(215.2)	(240.8)
R&D	(78.1)	(110.0)	(120.0)	(130.0)
Other operating inc./exp.)	—	—	—	—
EBITDA	524.7	936.0	1,113.4	1,165.8
Depreciation & amortization	(25.6)	(32.0)	(36.9)	(41.8)
EBIT	499.1	904.0	1,076.5	1,124.0
Net interest inc./exp.)	17.6	47.3	2.8	3.3
Income/(loss) from associates	—	—	—	—
Pre-tax profit	516.7	951.3	1,079.3	1,127.3
Provision for taxes	(141.4)	(266.4)	(302.2)	(315.6)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	375.4	684.9	777.1	811.7
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	375.4	684.9	777.1	811.7
EPS (basic, pre-exception) (¥)	517.4	962.0	1,112.7	1,162.3
EPS (diluted, pre-exception) (¥)	517.4	962.0	1,112.7	1,162.3
EPS (basic, post-exception) (¥)	517.4	962.0	1,112.7	1,162.3
EPS (diluted, post-exception) (¥)	517.4	962.0	1,112.7	1,162.3
DPS (¥)	59.0	144.0	167.0	174.0
Div. payout ratio (%)	11.4	15.0	15.0	15.0

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	340.0	483.2	762.7	1,098.5
Accounts receivable	228.7	362.5	428.9	462.5
Inventory	231.7	342.1	405.5	453.1
Other current assets	36.0	36.0	36.0	36.0
Total current assets	836.4	1,223.8	1,633.0	2,050.1
Net PP&E	101.6	128.1	154.7	181.4
Net intangibles	104.2	95.7	87.2	78.7
Total investments	74.1	74.1	74.1	74.1
Other long-term assets	55.4	55.4	55.4	55.4
Total assets	1,171.8	1,577.2	2,004.5	2,439.8
Accounts payable	142.1	209.7	248.6	277.8
Short-term debt	5.0	—	—	—
Short-term lease liabilities	—	—	—	—
Other current liabilities	183.3	183.3	183.3	183.3
Total current liabilities	330.3	393.0	431.9	461.1
Long-term debt	15.2	15.2	15.2	15.2
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	30.6	30.6	30.6	30.6
Total long-term liabilities	45.8	45.8	45.8	45.8
Total liabilities	376.1	438.8	477.7	506.9
Preferred shares	—	—	—	—
Total common equity	795.7	1,138.4	1,526.9	1,933.0
Minority interest	—	—	—	—
Total liabilities & equity	1,171.8	1,577.2	2,004.5	2,439.8
Net debt, adjusted	(319.8)	(468.0)	(747.4)	(1,083.3)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	375.4	684.9	777.1	811.7
D&A add-back	25.6	32.0	36.9	41.8
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(92.4)	(176.4)	(90.9)	(52.0)
Other operating cash flow	26.7	—	—	—
Cash flow from operations	335.2	540.5	723.1	801.5
Capital expenditures	(34.3)	(50.0)	(55.0)	(60.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(0.3)	—	—	—
Cash flow from investing	(34.6)	(50.0)	(55.0)	(60.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(42.8)	(102.5)	(116.6)	(121.5)
Inc/(dec) in debt	(75.4)	(5.0)	—	—
Other financing cash flows	(105.1)	(239.7)	(272.0)	(284.1)
Cash flow from financing	(223.2)	(347.2)	(388.6)	(405.6)
Total cash flow	77.4	143.3	279.4	335.9
Free cash flow	300.9	490.5	668.1	741.5

Source: Company data, Goldman Sachs Research estimates.

(3) **Production capacity:** With strong demand likely to continue (demand visibility from customers is around 18 months), Advantest expects to reach its SoC tester production capacity target of 5,000 units by end-FY3/27 sooner rather than later, and is proceeding with capacity expansion ahead of its April plan to expand to 10,000 units by end-2028 or early 2029. The company is also working to expand memory tester production capacity along similar lines to its SoC tester plans.

(4) **Profit margins:** 1Q gross margin reached a record high of 69.5%, partly from the product mix and inventory valuation gains/losses. While tailwinds for the product mix are likely to persist as strong demand for SoC testers is expected to continue going forward, management expects margins to decline into 2H, partly from the impact of higher procurement costs for items such as DRAM (the company said that it expects memory prices to continue to rise into FY3/28).

Stay Neutral, but expect share price upside near term; focus on rate of change in earnings from FY3/28

We revise up our FY3/27-FY3/29 operating profit estimates by 20%/14%/14% in light of 1Q results, and we raise our 12-month target price to ¥40,000 from ¥35,000. With confirmation of earnings expansion significantly stronger than prior expectations, we believe Advantest's shares, which had corrected sharply amid a recent stock price correction in AI-related names, are likely to rebound sharply in the near term. However, while we expect volume-based demand growth for AI semiconductors and the upward trend in test content to continue, we believe it is unlikely that expectations for GPU/ASIC test times will rise further. Consequently, we currently view it as unlikely that the company's earnings growth rate from FY3/28 onward will stand out as exceptionally high within our coverage. We maintain our Neutral rating relative to coverage.

Exhibit 1: Advantest: Earnings summary

Advantest (6857.T)										
(JPY mn)	3/2026	3/2027	3/2028	3/2029	3/2027	3/2027	3/2026 1Q	3/2026 2Q	3/2026 3Q	3/2026 4Q
Consolidated income statement										
Sales	1,128,610	1,788,500	2,116,100	2,281,900	1,420,000	1,714,000	263,776	262,957	273,804	328,073
Operating profits	499,120	904,000	1,076,500	1,124,000	627,500	846,000	123,952	108,483	113,571	153,114
Net income	375,353	684,900	777,100	811,700	465,500	660,000	90,180	79,633	78,713	126,827
EBITDA	524,720	936,000	1,113,400	1,165,800	657,000	877,000				
Margins										
Gross profits	64.3%	66.8%	66.7%	65.5%	63.0%	66.5%	65.1%	62.2%	62.0%	67.4%
EBITDA	46.5%	52.3%	52.6%	51.1%	46.3%	51.2%	47.0%	41.3%	41.5%	46.7%
Operating profits	44.2%	50.5%	50.9%	49.3%	44.2%	49.4%	34.2%	30.3%	28.7%	38.7%
Net Income	33.3%	38.3%	36.7%	35.6%	32.8%	38.5%				
R&D	78,100	110,000	120,000	130,000	100,000	110,000	17,100	18,300	19,200	23,500
D&A	25,600	32,000	36,900	41,800	29,500	31,000	6,100	6,300	6,400	7,200
Capex	34,300	50,000	55,000	60,000	45,000	50,000	6,100	9,400	7,800	11,000
EPS (JPY)	515.2	962.0	1,112.7	1,162.3	641.6	911.6				
DPS (JPY)	59.0	144.0	167.0	174.0						
BPS (JPY)	1,096.8	1,598.9	2,186.3	2,767.8						
Assumption										
USD/JPY	150	160	160	160	150	152	146	146	152	156
EUR/JPY	173	181	180	180	170	174	162	170	176	183
Revenue by business segment										
Test System Business	1,019,390	1,645,300	1,954,500	2,099,500	1,297,000	1,575,000	240,554	237,403	245,108	296,325
SoC tester	767,400	1,306,900	1,568,300	1,657,700	999,500	1,243,500	191,300	173,700	165,200	237,200
Memory tester	171,500	231,400	262,100	297,500	201,000	227,000	33,500	43,900	57,300	36,800
Other systems	80,500	107,000	124,100	144,300	96,500	104,500	15,800	19,800	22,600	22,300
Services & Others	109,230	143,200	161,600	182,400	123,000	139,000	23,222	25,554	28,706	31,748
Support Services	65,000	81,300	93,500	107,500	70,500	80,000	13,900	15,400	17,100	18,600
Others	44,200	61,900	68,100	74,900	52,500	59,000	9,300	10,200	11,600	13,100
Total	1,128,610	1,788,500	2,116,100	2,281,900	1,420,000	1,714,000	263,776	262,957	273,804	328,073
OP by business segment										
Test System Business	518,760	925,800	1,098,800	1,142,300			126,925	113,631	117,144	161,060
Services & Others	8,758	18,200	23,000	29,300			2,706	342	1,703	4,007
Elimination / corporate	(23,948)	(35,000)	(40,000)	(42,000)			(4,616)	(4,436)	(4,112)	(10,764)
Expenses on stock options	(4,450)	(5,000)	(5,300)	(5,600)			(1,063)	(1,054)	(1,164)	(1,169)
Total	499,120	904,000	1,076,500	1,124,000	627,500	846,000	123,952	108,483	113,571	153,114
OPM by business segment										
Test System Business	50.9%	56.3%	56.2%	54.4%			52.8%	47.9%	47.8%	54.4%
Services & Others	8.0%	12.7%	14.2%	16.1%			11.7%	1.3%	5.9%	12.6%
Total	44.2%	50.5%	50.9%	49.3%	44.2%	49.4%	47.0%	41.3%	41.5%	46.7%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Advantest

We are Neutral rated on Advantest as we believe the market has now fully recognized the story of expanding semiconductor tester demand, primarily for AI/HPC applications. While we expect volume-based demand growth for AI semiconductors (mainly GPUs and ASICs) and the uptrend in test content to continue, we believe it is unlikely that expectations for GPU/ASIC test times will rise further. Given that the company's earnings growth rate from FY3/28 onward is unlikely to stand out as exceptionally high within our coverage, and in view of the potential for further expansion in SG&A expenses (primarily R&D) to maintain and strengthen competitiveness going forward, we maintain our view that scope for further valuation expansion is limited.

Price Target Risks and Methodology - Advantest

Valuation methodology: Our 12-month target price of ¥40,000 is based on the global SPE sector average EV/EBITDA of 18X (to which we add a 40% sector-relative premium) and our FY3/28E EBITDA estimates (implies FY3/28E P/E of 36X and P/B of 18X).

Key risks: Market share fluctuations, fluctuations in customer capex appetite, trends in tester demand for China, USD/JPY fluctuations.

Disclosure Appendix

Reg AC

We, Shuhei Nakamura and Kaho Otake, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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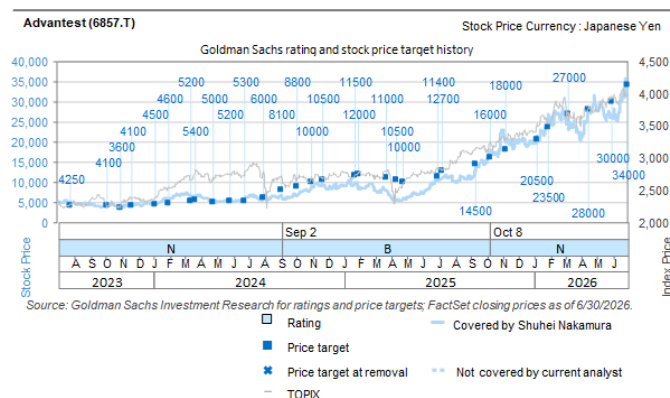
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Goldman Sachs Investment Research global Equity coverage universe

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Price target and rating history chart(s)



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Target price history table(s)

Advantest (6857.T)

Date of report Target price (¥) Closing price (¥)

29-Jul-26	40,000	25,200
22-Jul-26	35,000	29,585
30-Jun-26	34,000	32,340
31-May-26	30,000	26,170
15-Apr-26	28,000	27,585
09-Mar-26	27,000	22,875
28-Jan-26	23,500	25,540
06-Jan-26	20,500	21,555
07-Nov-25	18,000	19,960
08-Oct-25	16,000	17,965
10-Sep-25	14,500	13,125
09-Jul-25	12,700	10,980
30-Jun-25	11,400	10,655
25-Apr-25	10,000	6,000
13-Apr-25	10,500	5,632
24-Mar-25	11,000	8,005
29-Jan-25	12,000	8,518
22-Jan-25	11,500	9,819
21-Nov-24	10,500	9,385
30-Oct-24	10,000	8,595
02-Oct-24	8,800	6,556
02-Sep-24	8,100	6,796
31-Jul-24	6,000	6,029
25-Jun-24	5,300	5,814
27-May-24	5,200	5,669
26-Apr-24	5,000	5,389
21-Mar-24	5,400	6,747
13-Mar-24	5,200	6,683
31-Jan-24	4,600	5,823
04-Jan-24	4,500	4,615
21-Nov-23	4,100	4,777
31-Oct-23	3,600	3,815
05-Oct-23	4,100	4,240

Price targets shown in table(s) are unadjusted for corporate actions.

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